National Savings for a Rainy Day or National Wastage?

The final justification used by the Bimal Jalan Committee was that such provisioning is like ‘the country’s savings for a ‘rainy day’ [a monetary/financial stability crisis]’.

Implicit in this phraseology is that realized equity/accumulated surpluses are national savings that can be used in times of major monetary or financial crisis. It is prudent for individuals, households and businesses to set aside some profits for investments or for use during difficult times. In the same vein, possibly, the argument was offered that if surpluses generated are distributed to the government, they would get used up to meet some public expenditure. Governments do not save and therefore if RBI retains the surplus, it would constitute ‘national savings’.

There are two issues connected with this reasoning. First, whether it is advisable to use the surplus to meet legitimate public expenditure needs now or retain it with the RBI to meet legitimate public expenditure needs in future during a crisis. Second, whether deploying such savings in foreign currency assets is the most prudent means of growing savings.

The Central government is acutely short of fiscal resources to meet legitimate public expenditure needs. The Centre borrows and services debt. Therefore, if RBI saves its surplus and does not distribute it to the government, an equal amount is borrowed by the government to meet its deficit. Therefore, taken together, there are no national savings when RBI retains surplus.

RBI invests these savings primarily in foreign currency assets. These assets have yielded less than 1.5 per cent return in 2019–20. In 2020–21, they are expected to yield only about 1 per cent. The government’s borrowing cost in 2019–20 was about 7 per cent. In 2020–21, it is expected to be about 6 per cent. Therefore, the nation loses 5–6 per cent of returns on RBI retaining its surplus as savings and investing it in foreign currency assets. A 5 per cent loss on Rs 15 lakh crore of retained equity is Rs 75,000